# BABÉ

The culture of care: taking care of those who care

It was a warm spring afternoon when Cristina Bordils, CEO of BABÉ decided to leave her regular office routine. Today, Cristina visited one of the numerous pharmacies that proudly sold Babe's products. She wanted to see first-hand how the brand came to life at the sales point – how their partners, the pharmacists, welcomed the patient as he walked through the door, listened to their needs and to the troubles and questions that those customers expressed.

As she entered the pharmacy, "he witnessed a familiar interaction between a regular client and the pharmacist. *"Hi, María! How have you been? And how are your allergies going?"* The pharmacist welcomed her warmly. María smiled, valuing the familiarity. "*Much better, all thanks to your recommendation! Today, I came to get more of the same acne treatment you suggested. It has done wonders to my skin*". The pharmacist nodded as he took the product from the stand. "*I am glad to hear that! Are you still using the cleanser and the moisturising cream?".* María doubted for a moment, "*Yes, but I have been spending more time outside, and I sense my skin more irritated"*. "W*ell, it makes sense. I recommend adding a sunscreen from BABÉ's range to help you protect it from the sun and prevent further irritation*". María agreed, and the pharmacist carefully placed her products in the bag. "*Here you have it. Stick to the routine we discussed, and let me know if you notice any changes. Enjoy your trip to Madrid*".

As María left, Cristina took a moment to reflect on what he had just seen. It wasn't just a transaction, it was a relationship built on trust, expertise and honest care. The pharmacist was more than a vendor. He advised and guided María through her skincare journey. A personalised service that lets BABÉ to differentiate itself in a highly competitive landscape.

During the rest of the morning, Cristina continued watching the interactions between the pharmacist and all the different customers. All interactions proved the same level of empathy, trust and engagement.

Later that evening, while driving home, she wandered on the day's experience and the future of BABÉ. *What would this experience look like in three years from now*? She pictured a world where every pharmacy that offered BABÉ's products delivered a seamless, consistent and premium experience where pharmacies were deeply engaged advocates for the brand. The challenge was clear but the route to achieving it was not. How could the company elevate its pharmacy presence, grow sustainably and ensure that its culture of care resonated at every touchpoint?

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## The Company: Laboratorios BABÉ

Laboratorios BABÉ is a Spanish company in the dermo-cosmetics sector. Founded in 1994 in Valencia by Romualdo Bartomeu (Romu) and Vicente Ruiz, it represents a personal endeavour for its founders. Romualdo and Vicente envisioned making a dermo-cosmetic brand that combined scientific excellence with empathetic care. As they graduated from pharmacy studies, they began creating skincare products in the back office of Romu's father's pharmacy, which later became BABÉ. They initially sold them to the pharmacy's patients and later to other pharmacies in Spain. After years of expansion, BABÉ's products are available in 50 countries, with international business accounting for 85% of total sales.

BABÉ is more than just a business to its founders—it is a long-term passion project, deeply personal to them, where they maintain full control over the company's values and direction.

BABÉ`s success is supported by a strategic manufacturing and R&D partner who ensures that the company has access to critical resources, strong production capacity and the latest formulations. More importantly, this partner provides immediate access to the most potent active ingredients in the market, allowing BABÉ to stay at the vanguard of dermo-cosmetic innovation. This cooperation facilitates that BABÉ can respond quickly to emerging trends while maintaining the highest standards of excellence

The strategic partner ensures a continuous provision of exceptional quality resources, BABÉ thrives on its creators' commitment to delivering innovative, accessible skincare products tailored for all skin types and stages. The firm's mission is to improve the health and well-being of its clients through safe and effective products that combine scientific rigour with empathetic care.

BABÉ's portfolio includes more than 80 products that address several skin care needs, ranging from facial and body care to paediatric and sun protection goods. Precisely, its formulations are developed dermatologically and are clinically tested to assure efficacy. BABÉ's philosophy predicates "caring for those who care", remarking on the importance of closeness, empathy and simplicity in their approach. Key to the company's success is its devotion to innovation and quality and in the last four years it has renewed half of its product portfolio.

Furthermore, BABÉ's commitment to the "*culture of care*" expands past product development. This philosophy trespasses every aspect of the business, from its collaboration with its partners to educational initiatives for healthcare providers. The culture of care serves not only as guidance but also as a competitive advantage, ensuring loyalty and trust among its stakeholders. Enhancing empathy, safety and innovations, BABÉ wishes to build long-lasting relationships that go beyond sheer transactions.

As a company embedded in a culture of care, BABÉ aims to become a global reference in dermo-cosmetics, trusted by consumers, pharmacists, and health professionals. Its vision includes expanding its reach and influence while staying true to its values of safety, efficacy, and empathy.

The structure of Laboratorios BABÉ is organised into two areas: marketing area and the commercial area. It works with exclusive distributors, referred to as partners, that might have usually an exclusivity for one country. The goal of this organisation is to focus on selecting, caring for, training, supporting, and guiding brand strategies, assortment, marketing, and sales channels for the partner network worldwide. In Spain and Portugal there is no distributor. The laboratory has its own commercial and marketing team to directly serve both countries.

The company operates in about 50 countries, focusing its distribution network on pharmacies and health professionals, especially dermatologists, paediatricians and others, like gynaecologists. It is still not present in large markets such as the United States, England, and others like France, Germany, and Italy. Nevertheless, BABÉ has achieved an impressive **170% growth rate in sales** (exhibit 1) over the last five years, reflecting its continued expansion.

A cornerstone of BABÉ's strategy is its support of health professionals and pharmacies to recommend and prescribe its products. With it, it ensures credibility and trust among its consumers and reinforces the essence of the channel as the primary means of distribution. The company's success relies on maintaining strong relationships with healthcare professionals who act as ambassadors for the brand. The partnership highlights the critical role of the channel in reaching clients and differentiating BABÉ in a crowded dermo-cosmetics market.

## The Industry

*The Dermo-Cosmetic Market in Spain.*

The dermo-cosmetic industry is very fragmented, characterised by a multitude of players competing for market share. In Spain, there are 22,300 pharmacies, 3.000 dermatologists and 10,000 paediatricians. In this atomised market, Spain is not currently a leading market for BABÉ regarding market share. Laboratorios BABÉ wishes to distinguish itself by rising to the top 20 global dermo-cosmetic companies in the pharmacy channel and ensuring a place within the top 10 in the most relevant product categories for the brand in the next three years. In Spain, BABÉ has been growing since 2020, when it started investing more intensively in a pharmacy sales force, a network of medical representatives and marketing resources and investments, and innovative product launches. It has also grown largely in categories like sun protection, which represents 20% of the dermo-cosmetic market in pharmacies.

The cosmetic and dermo-cosmetics industry in Spain is described a powerful economic and cultural force, valued at €9 billion in 2024 *(Stanpa, excluding oral hygiene).* The sector has experienced consistent annual growth of 22% (*Stanpa*) and a positive trade balance of €1650 million. This category is marketed across three channels: mass consumption, pharmacies and selective channels (perfumery). The pharmacy channel accounts for 20% of the total, generating a volume of 1.7 billion and experiencing 19% growth. *(Stanpa*). Spain ranks as the 4th largest cosmetics market in the European Union and the second-largest global exporter of perfumes. With an annual value of €7.7 billion in exportations *(Stanpa)* it demonstrates its competitive edge internationally.

Dermo-cosmetics is a specialised branch of the cosmetic industry, which focuses on health and skincare, and accounts for a significant share of the Spanish market (€3.4 billion) *(Statista).* The rising success is driven by the increased health awareness of consumers and the prevalence of dermatological conditions that require tailored solutions. Dermo-cosmetic products represent approximately 33% of the total skincare market and are expected to grow at a compound annual growth rate of 8% through 2024. Key product categories include sun protection (20% growth 2023), facial care (14%), and anti-ageing solutions, which align closely with Babe's catalogue (*Stanpa*).

According to IQVIA, which is the largest sales database for pharmacies, anti-aging products account for 16% of sales and have grown by 8% in the last year. Sun protection products account for 15%, while the anti-acne category accounts for 4% and has grown by 17%. BABÉ has been gaining market share in Spain since 2020, growing and approaching the top 20 in the categories of sun protection, acne, depigmentation, and lip care. Within the atopic and dry skin category, we are in the top 10. This channel is crucial not only for sales but also for ensuring credibility through health professional recommendations. Indeed, it reinforces BABÉ's strategy of partnering with professionals, ensuring that its products are endorsed by health specialists. The dominance of the pharmacy channel remarks on the distinctive dynamics of the Spanish market in comparison to others.

In Spain, pharmacies are the main channel for dermo-cosmetic products, accounting for over 60% of these sales. This channel is crucial not only for sales but also for ensuring credibility through health professional recommendations. Indeed, it reinforces BABÉ's strategy of partnering with professionals, ensuring that its products are endorsed by health specialists. The dominance of the pharmacy channel remarks on the distinctive dynamics of the Spanish market in comparison to others.

Moreover, BABÉ exclusively sells its products through pharmacies, seeing them not solely as distribution points but as integral partners in their business model. This partnership goes past transactional relationships. Pharmacies play the role of trusted advisors that are crucial in conveying BABÉ's culture of care to the end consumers. They are brand advocates who provide expert recommendations and enhance consumer trust. The company invests vastly in maintaining the relationship

through educational programs, marketing support, roadshows and private exhibitions and ongoing communication to guarantee that pharmacists are aligned with the firm's values.

By leveraging the credibility and expertise of pharmacists, BABÉ ensures that its clients are guided by the best experts and earns the trust of the professional channel. The support on this channel underscores the company's commitment to quality, trust and long-term growth in the Spanish market.

*The Dermo-Cosmetic Market in Europe*

The European cosmetics market stands as a global leader (Exhibit 2), with annual revenues above 96€ billion in 2023 *(Euromonitor Global).*

Within the cosmetic market, dermo-cosmetics represents revenues of over €24 billion (*Euromonitor*), describing a global benchmark for innovation and quality. Its principal characteristics are the diversity of preferences in consumers and the strong regulatory frameworks to ensure product safety and quality. As previously mentioned, Spain is an important player as it serves as a major exporter to other EU countries. Nevertheless, the region is dominated by multinational players like L'Oréal, Beiersdorf (Eucerin), Pierre Fabré and Johnson&Johnson, who appoint high standards in branding, innovation and distribution.

In Europe, dermo-cosmetics have acquired significant traction, particularly in markets such as France, Germany and Italy, where the demand for health-focused skincare products is high and where the headquarters of the world's leading dermo-cosmetic manufacturers are located

Pharmacies play, as well, a critical role in these markets, mirroring the Spanish dynamics. However, sustainability trends are increasingly influencing European consumer behaviour. Roughly 40% of consumers report prioritising products with sustainable packaging and ethical production. This represents an opportunity for companies like BABÉ to differentiate through their "*culture of care*" and their adherence to innovation.

Currently, BABÉ is present in 24 European countries and, within 5 of those countries, it stands in the top 5 dermo-cosmetic brands sold in pharmacies as well as in some categories such as paediatrics and sun protection.

*Global context*

Globally, the dermo-cosmetics industry is rapidly growing, with an estimated market size of $166 billion in 2024 (*Euromonitor*). BABÉ's channels are mainly prescription channels such as pharmacies, para pharmacies, and health and beauty stores. These, represent **30% of the entire market**, which is defined as the *"addressable market".*

However, for the sale of dermo-cosmetic products, the products must comply with specific regulations (**FDA**) different from the **CE marking** found on BABÉ products.

As for the sales channels, the dermocosmetics sales vary across continents, with different distribution strategies in place depending on local market characteristics. In Europe, for example, dermocosmetic products are often sold through independent pharmacies (as Spain), small and large pharmacy chains, and drugstores with specific dermocosmetic areas. These retailers play a crucial role in making dermocosmetics accessible to a wide consumer base. In contrast, in North America, the presence of drugstores and mass-market retail chains is more prominent, while in Latin America, independent pharmacies and big regional chains often dominate the market. Furthermore, in Asia, sales through medical clinics and dermatology offices are significant, with consumers often seeking advice from specialists before purchasing. This variation across regions highlights the importance of adapting sales strategies to local consumer behaviours, healthcare infrastructure, and retail channels.

On the other hand, dermocosmetic regulation varies significantly across continents, reflecting differing regulatory frameworks and consumer protection standards. In Europe, dermocosmetics are regulated under the EU Cosmetics Regulation, ensuring product safety through stringent testing requirements and ingredient restrictions. In North America, the U.S. Food and Drug Administration (FDA) oversees the regulation of cosmetic products, including dermocosmetics, although they are not as strictly regulated as pharmaceuticals. In Latin America, each country has their own regulatory frameworks for dermocosmetics. In Asia, regulations vary widely, with countries like Japan and South Korea implementing strict guidelines that can take several months to over a year for product registration, depending on the complexity of the product. In all regions, regulatory bodies aim to ensure consumer safety while encouraging innovation within the dermocosmetic industry.

Global competitors like L'Oréal (La Roche Posay, Vichy and Cerave), Beiersdorf (Eucerin) and Johnson & Johnson (Neutrogena), dominate the market with a large distribution network and strong marketing. BABÉ faces the challenge of finding a niche in this demanding landscape by leveraging its "*culture of care*".

Key drivers of this growth are:

- Rising skin health awareness: consumers demand products that tailor specific dermatological conditions like acne or eczema. The trend fosters demand for products with therapeutic benefits that include cosmetic appeal.

- Preventive care focus: the transition to preventive skincare, mostly among younger generations, has led to a rise in the demand for anti-ageing and sun protection products
- Online channel growth: online sales now account for 10% of dermo-cosmetics revenue globally and show much higher growth than the physical channels.
- E-commerce growth: online sales now account for 25% of dermo-cosmetics revenue globally. Although BABÉ initiated an e-commerce platform, it decided to discontinue its online sales in 2023 to focus on its core strategy. The firm prioritises building long-lasting relationships with its healthcare professionals and pharmacies. This vision aligns closer with its bet for trust and in-person channels that differentiate it from a market with many digital-first brands. Nowadays, 90% of its sales are generated through the pharmacy channel. it pictures leveraging e-tailers and online health stores or e-parapharmacies as an extension of its trusted pharmacy network. This approach would still maintain the personalised care that defines its firm identity. The challenge for BABÉ is to navigate the potential shift while ensuring that all elements of its pharmacy-first model stay intact, viewing online channel as a complementary consumer approach if there is a professional recommendations and prescription of their products.

## The Culture of Care: "*Science with emotion*"

At the heart of Laboratorios BABÉ's philosophy lies a profoundly rooted "*culture of care*". The company is built upon the principle of "Science with emotion". This guiding direction shapes each aspect of the firm's operations, from product creation to its relationship with clients, healthcare specialists, suppliers and distribution partners. The commitment to combining scientific rigour with an empathetic understanding of its customer's needs results in the creation of products that are both effective and meaningful.

*Science with emotion*

BABÉ's vision of "*Science with emotion*" remarks the perfect balance between dermatological precision and human affinity. Every product is meticulously designed with the needs of consumers in mind, ensuring that it addresses all specific skincare concerns while delivering a wholesome experience that promotes trust and emotional resonance. This philosophy highlights the company's commitment to:

- *Empathetic-driven solutions:* BABÉ intends to understand and address the needs of all of its stakeholders. This extends past consumers and includes healthcare professionals and suppliers. This is shown, for example, in its commitment to create products that cater to all types of skin and conditions

- including sensitive, paediatric, and ageing skin. BABÉ actively pursues feedback from its grid of partners, promoting an environment of collaboration and mutual respect. This emphasis on empathy reinforces the company's mission of "*caring for those who care*".

- *Scientific integrity:* A cornerstone of BABÉ's operations consists of ensuring the safety and efficacy of its products. The firm adheres to strict dermatological standards and invests heavily in research and testing to guarantee the best quality. Every product undergoes rigorous clinical trials. By prioritising safety, BABÉ not only protects its clients but also boosts trust with its professional and supplier partners, who count on the company's credibility to maintain their prestige. Moreover, all their products include the formula detail (INCI) with the actives and its percentages printed in the boxes.

- *Trust and long-term relationships*: Creating and sustaining trust is fundamental to Babe's success. The firm fosters transparency and ethical practices in its relationships with its suppliers and distributors. By prioritising long–term collaborations over transactional relationships, BABÉ guarantees that its values are consistently reflected throughout its supply chain. This comprises maintaining close communication with its suppliers to support quality standards and align on shared goals.

- *A Holistic Approach to Skincare*: BABÉ goes beyond addressing and giving solutions to skin concerns. It promotes a holistic skincare approach which emphasises prevention, protection and emotional well-being. Its formulation aims to provide a sensory experience that transforms routines into moments of self-care, fostering an emotional connection with its consumers.

*User experience: The care formula in action.*

Understanding that skincare is not just about applying a product but about creating a seamless, comforting, and effective journey, BABÉ integrates the Care Formula into every aspect of the user experience.

1. **Closeness:** A personalised approach

The most evident proof of the importance of closeness for BABÉ is their channel, their pharmacy-first model. Pharmacists are not mere distributors but trusted advisors and advocates of the brand who help customers select the right products. BABÉ guarantees that every pharmacist embodies their philosophy and provides individualised recommendations to consumers.

2. **Listening and Guidance**: A continuous support system.

BABÉ values active listening, which translates into better guidance for its consumers. They want their healthcare specialists to provide precise and informed recommendations to their customers, asking about their troubles and their needs and keeping an ongoing track of their customer's skincare journey. The company then analyses all this feedback and translates it into more refined products and an enhanced user experience.

3. **Prevention and Protection:** More than Just Treatment

Beyond addressing dermatological conditions, BABÉ creates products that strengthen the skin's barrier function and microbiome, which proactively prevents future skin issues. This preventive approach aligns with the increasing demand for long-term skin health solutions.

4. **Sensoriality and well-being:** The emotional connection

Skincare is a personal and intimate experience, and BABÉ ensures that its products are designed for maximum sensorial enjoyment. The textures, the fragrances and the absorption rates of its formulas are crafted to make skincare routines a moment of peace and relaxation.

5. **Science and safety:** The BABÉ promise

Every product is developed to balance dermatological efficacy with the emotional connection to consumers. BABÉ wants to ensure that its products are effective and comforting to strengthen its relationships with consumers by fostering loyalty and trust.
By integrating The Care Formula into all aspects of their user experience, BABÉ guarantees that consumers feel supported, understood and confident in their life skincare journey. The unique mix of science and emotion makes BABÉ a distinguished leader in the dermo-cosmetic market.

## The Pharmacy as a Strategic Partner

One, if not the most crucial aspect of BABÉ's business model is its deeply rooted partnership with pharmacies. Contrary to many competitors, who use diverse distribution channels, BABÉ focuses solely on pharmacies, viewing them as critical partners rather than mere distributors. This extraordinary approach allows BABÉ to ensure high control over the customer experience and guarantees that its "culture of care" is transmitted effectively to end clients.

BABÉ invests vastly in nurturing these relationships, offering specialised training programs, marketing support and continuous engagement to empower pharmacists as nearly ambassadors of the brand. The firm's goal is to create an environment where pharmacists and professionals feel extremely connected to BABÉ's mission and can provide tailored recommendations and guidance to consumers.

These close partnerships are compared to the level of trust and alignment seen in the franchise–models, where pharmacies become an extension of BABÉ's identity and values.

By fostering these powerful relationships, BABÉ positions pharmacists as key advocates that bring together the brand and consumers. This strategy wishes to reinforce its commitment to trusted experts and long–term collaboration as pillars of its success.

## Products

Laboratorios BABÉ offers a complete portfolio of dermo-cosmetic products, each designed to address an assortment of skin needs. Its product range is comprised of five primary segments, recalling its commitment to delivering tailored and effective solutions.

BABÉ's pricing strategy is based on the best formula with the most competitive price, comparing itself to the benchmark of pharmacy sales laboratories in each category.

*Facial care.*

Facial care is one of the firm's main categories. It includes products targeted to different skin types and conditions. It accounts for one-third of the total product portfolio at the SKU level. It includes five lines: the anti-ageing line (Healthaging+, launched in 2021), the acne-prone skin line (Stop AKN, renewed in 2024), the anti-dark spot line (Depigment+, launched in 2023), the serum line (new line launched in 2024) with highly concentrated formulas, and the essentials line, (Exhibit 3).

The latter has shown consistent growth (+35% in 2024), contributing to 36% of BABÉ's total sales in 2024. This growth was driven by strong demand for preventive skincare solutions and newly launched lines with high potential. Recommended prices in Spain for this line range from **€15 to €40**. (Exhibit 4)

*Sun protection*

BABÉ's sun protection line is a cornerstone of its portfolio. This is due to the rise in the consumer demand for effective UV protection, increasing awareness of skin health, and concern about skin diseases caused by sun exposure. Sun protection and the use of sunscreen 365 days a year, even when the sun is not visible, are the brand's key communication pillars.

Its best-selling sun care product is the Superfluid SPF50+, which contains hyaluronic acid, offers broad-spectrum protection and has moisturizing properties. This is the most renewed and expanded line in the past three years, now comprising 25 SKUs. (Exhibit 5).

In terms of sales, this category grew by **27% in 2024** (Exhibit 6), representing **26% of** BABÉ**'s total revenue**. It also holds the greatest growth potential, as not all distributors have launched it yet. Prices range from **€20 to €30**, depending on the protective features and SPF level of the product.

*Body care*

BABÉ's body care range includes moisturisers, emollients and treatments for various skin conditions. All products are designed to repair and strengthen the skin's natural barrier, providing reassurance for sensitive or dry skin. The main lines are Oil Care, for atopic and dry skin, and Urea, which manages chronic dryness. (Exhibit 7).

This segment has experienced **10% annual growth,** reflecting increased awareness of body skincare needs, although it does not grow as much as facial care and sun protection. It represents **22% of total revenue**. The price of this line ranges between **€10 and €25**, catering to a broad audience.

*Paediatric care*

Understanding the distinctive needs of newborns and children's skin, BABÉ offers a specialised paediatric line. All of the products are hypoallergenic, fragrance-free – free and satisfy the highest safety standards for the baby skins. The range includes gentle cleansers, moisturising creams and sun protection that cater to young skin. (Exhibit 8).

The BABÉ Paediatric line is particularly noteworthy as it addresses conditions like diaper rashes and cradle caps. BABÉ is a benchmark paediatric brand in many markets. Growth in this segment is more moderate, and the line represents **13% of BABÉ's total sales** (Exhibit 9). Prices range from **€10 to €28**.

*Hair and Scalp care*

Acknowledging the connection between scalp health and overall skin well-being, BABÉ has created a line of treatments and shampoos for problems such as hair loss and sensitive scalps. Some of its key lines are Anti-hair Loss System and Sensitive Scalp. This segment represents **7% of BABÉ's sales**, with products varying between **€10 and €20.**

## Market

*Geographic presence*

BABÉ operates in 50 countries across Europe, Latin America, the Middle East, North Africa and Asia, strategically focusing on pharmacies and healthcare professional endorsements. The distribution follows (Exhibit 10):

- **Europe** (53% of total sales and 23 countries) (Exhibit 11): Spain is BABÉ's main market in terms of turnover but not regarding market share or units sold. The biggest BABÉ markets, where the brand ranks among the top 5 in some skincare categories, are the **Baltics** and **Hungary**, where the brand has been present for **20 years**. Following these are **Ukraine** and **Georgia**, with strong growth over the last 5 years. In countries like **Portugal** and **Croatia**, the brand is consolidating with more moderate growth.
- **Latin America** (21% of total sales and 11 countries) (Exhibit 12): the main markets are in **Central America** and the **Dominican Republic**, where BABÉ has its largest market share in the region, capitalising on the growing middle class and the increasing awareness of dermo-cosmetic benefits in these territories. **Mexico** and **Chile** are markets with great potential.
- **Middle East and North Africa** (11% of total sales and 10 countries) (Exhibit 13): BABÉ has grown substantially in some markets such as Iraq, Saudi Arabia and Morocco where demand for premium skincare aligns with BABÉ's product offering. **Turkey** has historically been BABÉ's main market and one of the most important, and it is expected to recover in the coming years.
- **Asia Pacific** (12% of total sales and 6 countries) (Exhibit 14): Despite being a new market, the company has targeted some countries like Vietnam, where BABÉ is a Top 5 brand in acne products, and India or Bangladesh, where the products are sold through medical clinics. Lines such as the paediatric line are well-introduced in Taiwan.

BABÉ's international strategy ensures tailored approaches for each region. The strategy is that of a **Global brand that acts locally** to the market. **Be Global. Act Local.** It ensures that it meets its clients' demands while maintaining the trust of pharmacists and healthcare professionals.

*Competitive landscape*

The dermo-cosmetic market is highly competitive, with many global giants such as L'oréal (CeraVe, La Roche-Posay), Beiersdorf (Eucerin) and Johnson and Johnson (Neutrogena) dominating the scene. All of them profit from substantial marketing budgets, extensive distribution networks and strong brand recognition.
Nevertheless, BABÉ has successfully carved out a space in the market due to:

- Pharmacy partnerships: Pharmacies remain its primary channel, accounting for 90% of sales in Spain. BABÉ's partnership with pharmacies gives it a strategic advantage.
- Targeted offering: The firm offers tailored products to specific skin conditions and needs of the consumers, differentiating itself from broader skincare companies.
- Trusted reputation: Due to its clinical testing and healthcare professional endorsements, the company builds trust among consumers.

*Consumer Insights*

BABÉ's target audience is not a question of age. Clients who prioritise skin health and want to invest in quality products. This group is especially receptive to the recommendations from dermatologists and pharmacists.

Consumer preferences seek transparency in formulations, multifunctional products and solutions individualised to their skin concerns. BABÉ's precise labelling and specialised lines cater to these preferences.
The average consumer spends approximately €206 annually on dermocosmetics (*Stanpa*). Some segments that have particularly grown over the last year are sun protection (20%) and facial care (14%).

## Financials

Laboratorios BABÉ has experienced consistent growth over the past 5 years, fuelled by its focus on product innovation, marketing investment, international growth and strong partnerships with healthcare experts.

BABÉ's total revenue reached €20 million in 2024 (Exhibit 1), reflecting a compound annual growth rate of 20% since 2019. Regarding revenue distribution within regions, the major part comes from the international markets in Europe (56% of total revenue), Spain contributes €3 million (15% of total revenue), Latin America (21% of total revenue), Middle East and North Africa (11% of total revenue), and Asia (12% of total revenue)

Pharmacy sales represent the main channel in most of BABE's countries. Healthcare experts' endorsements contribute significantly to consumer trust and credibility, and in several countries, there is also a channel that sells BABE products. Within sales, export sales account for 85% of the total revenue.

## The challenge

Laboratorios BABÉ stands at a strategic crossroads as it foresees its growth trajectory for the next three years. The company wishes to create a strategy that aligns with its long-term vision of becoming a reference in the dermo-cosmetic industry. With aspirations to enter the top global brands and solidify its position among the top 10 in Spain BABÉ must carefully consider its path forward.

Crucial to this challenge, is the company's partnership with pharmacies as its distribution channel. While this model has been central to building trust and credibility, it presents some constraints in scaling operations globally when collaborating with local partners in each territory.

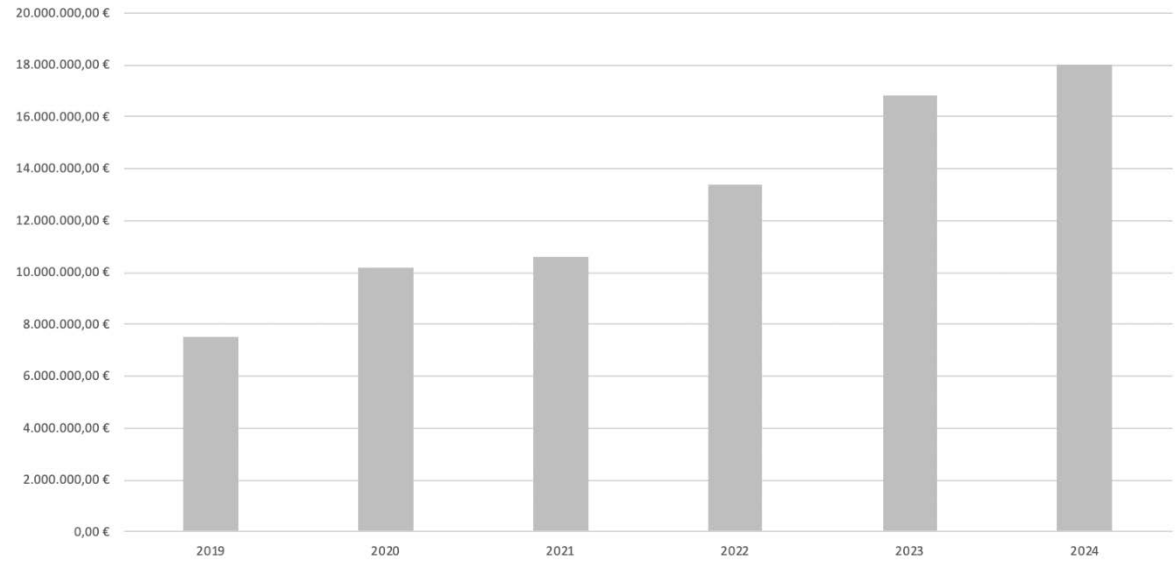
The company must decide how to solidify these relationships while ensuring consistent consumer experience across all markets. Considering the diversity of dermocosmetic sales channels structures across regions, from pharmacies and drugstores to medical clinics and dermatology offices, BABÉ must ensure it adapts to each market's distribution practices while maintaining a consistent consumer experience globally.

Moreover, BABÉ's decision to stop the e-commerce channel in favour of in-person pharmacy partnerships adds complexity to the strategy. The company must explore innovative ways to leverage its "*Science with Emotion"* philosophy to enhance brand visibility, drive sustainable growth and deepen consumer engagement in an increasingly competitive landscape.

How can BABÉ navigate these dynamics while staying true to its core values?

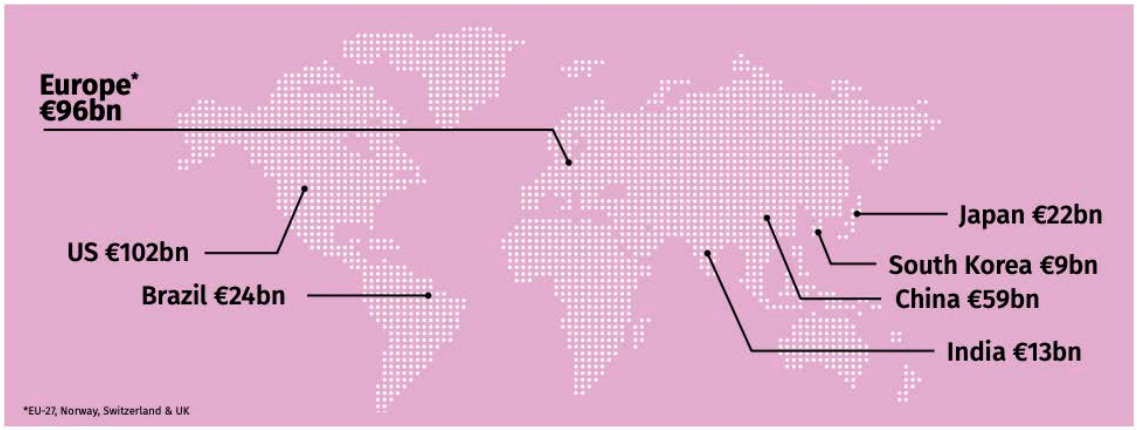
# Exhibits

**Exhibit 1:** BABÉ's sales




*(BABÉ)* *sales*

**Exhibit 2:** Market size of the Dermo-cosmetic industry in Europe




(*https://cosmeticseurope.eu/files/3817/2017/1343/CE_Socio_Economic_Infographic_2023.pdf*)

**Exhibit 3:** Facial line




*Depigment*

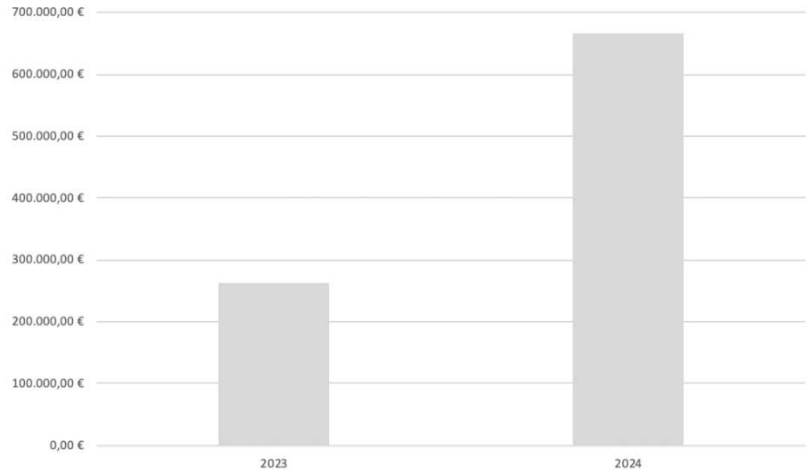



*Stop AKN*

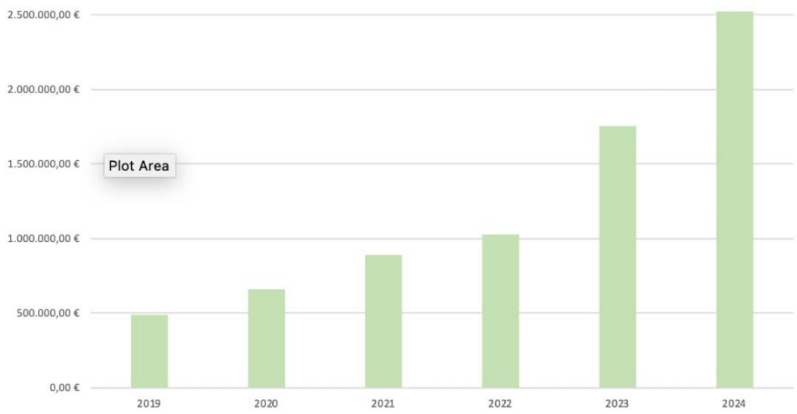



*Healthy ageing*

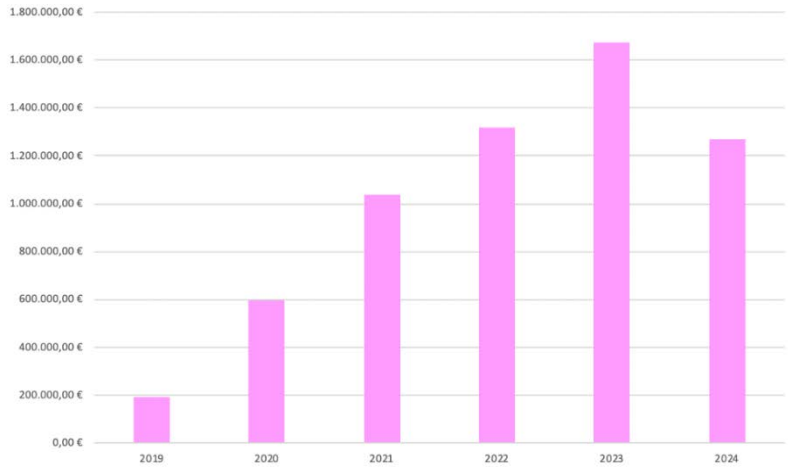
**Exhibit 4:** Evolution of the facial line




*Evolution of Depigment+ sales*




*Evolution of Stop AKN sales*

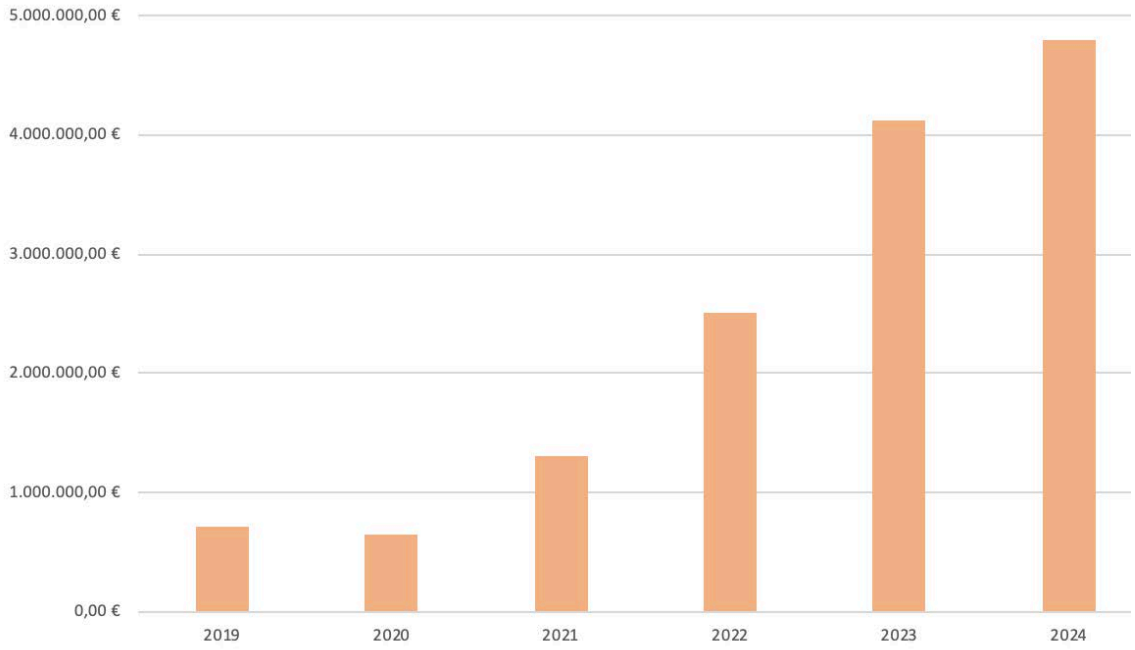



*Evolution Healthy ageing sales*

**Exhibit 5**: Solar line




**Exhibit 6**: Evolution solar line




*Evolution of Solar line sales*

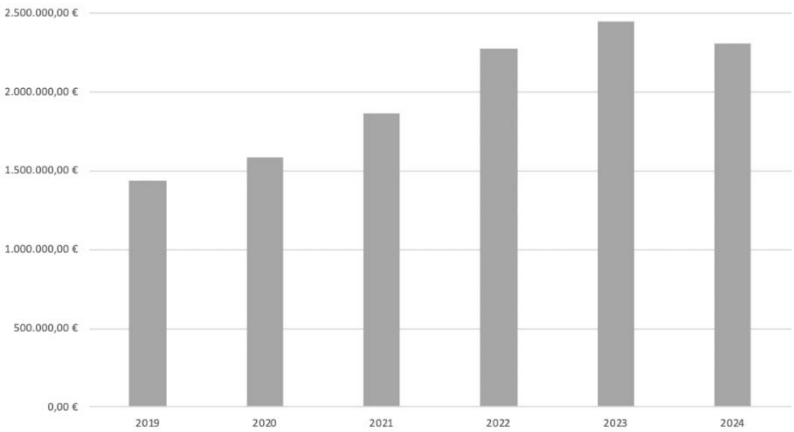
**Exhibit 7:** Corporal line



**Exhibit 8:** Paediatric line




**Exhibit 9:** Evolution of Paediatric line




*Evolution of Paediatric sales*

**Exhibit 10:** Territory distribution

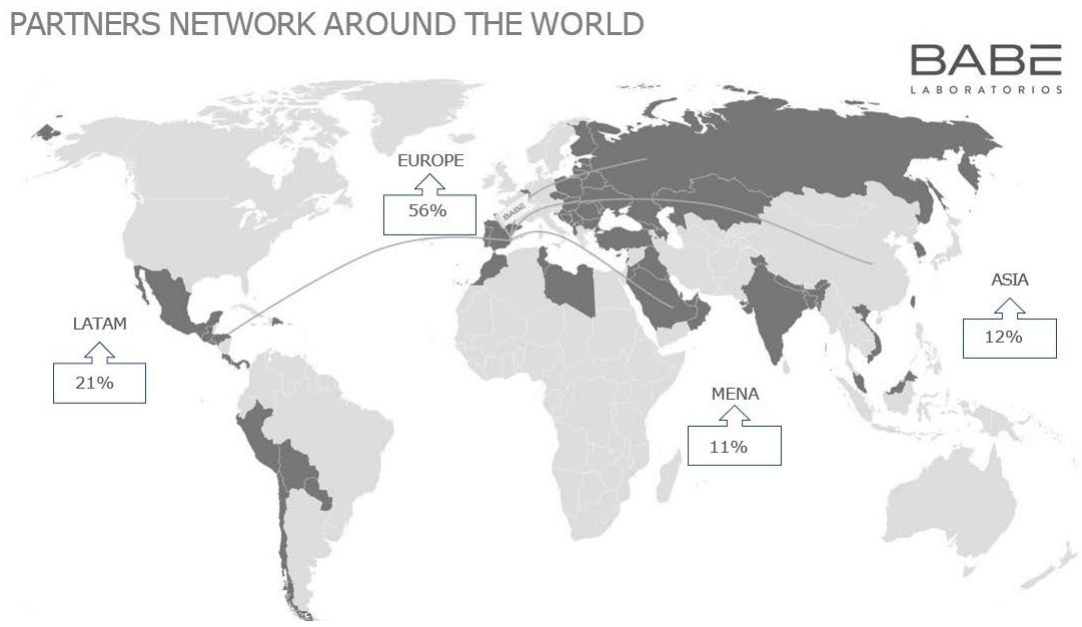
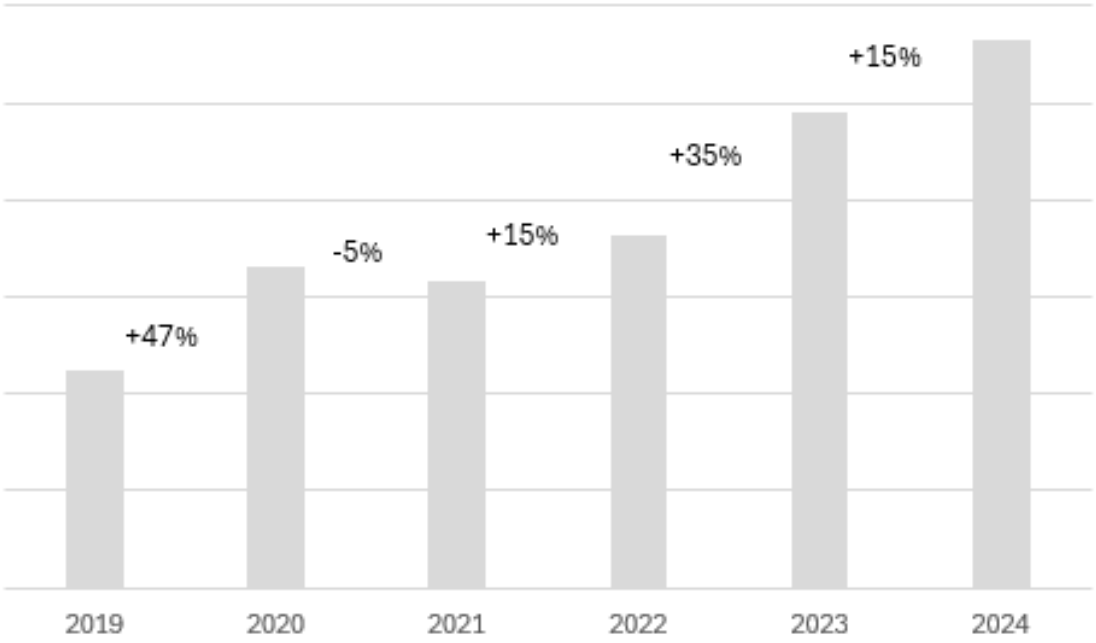
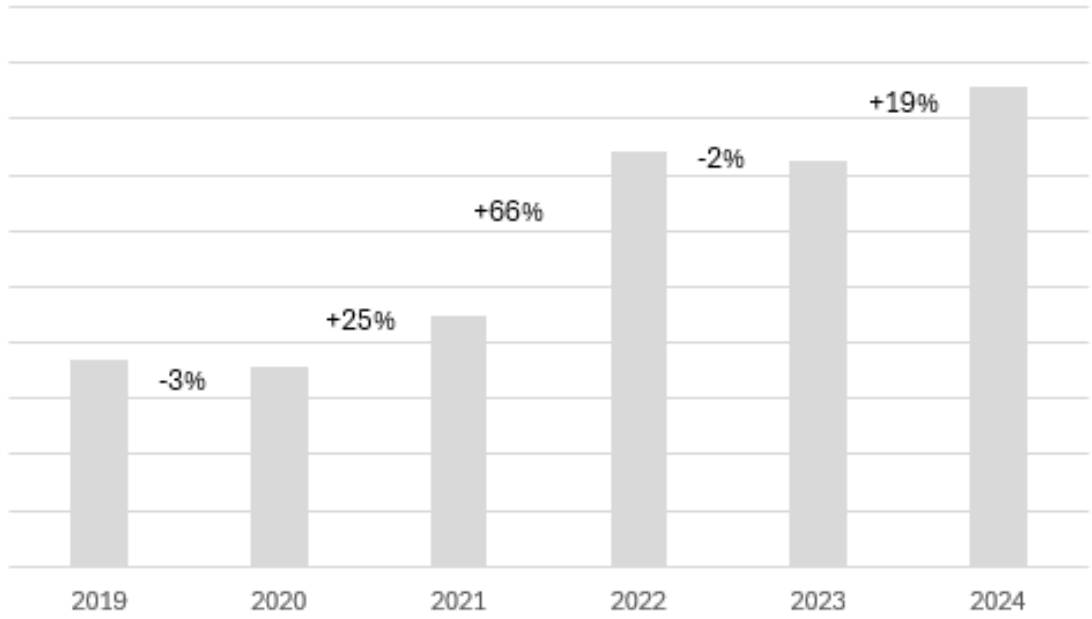



**Exhibit 11:** European sale



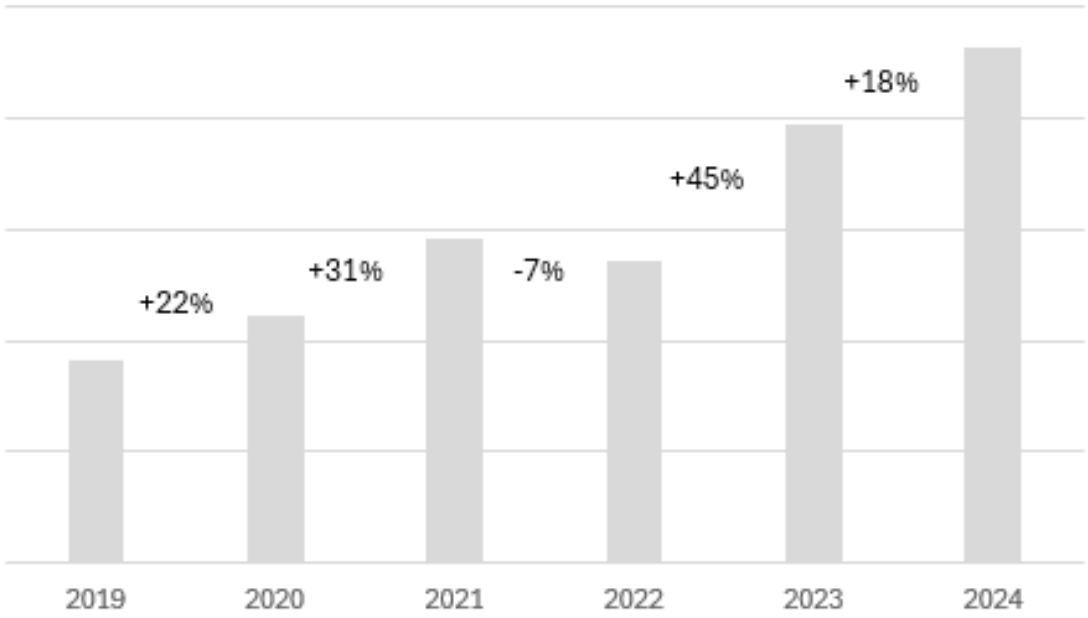

*Evolution of Europe sales*

**Exhibit 12:** Latin – America sales



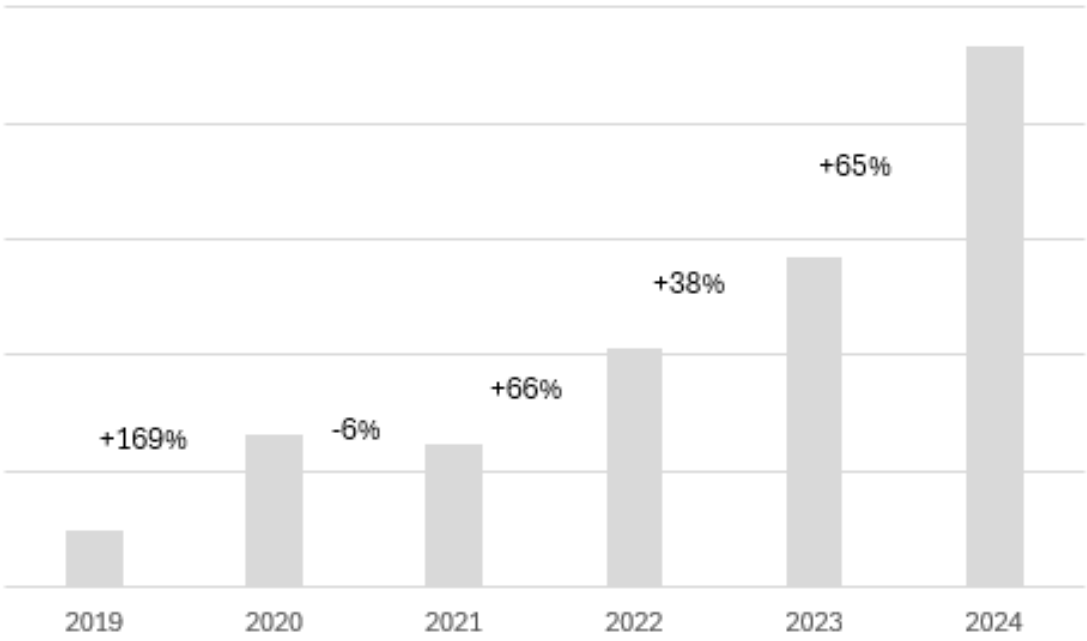

*Evolution of Latin America sales*

**Exhibit 13:** Middle East & North Africa sales




*Evolution of Middle East & North Africa sales*

**Exhibit 14:** Asia Pacific Sales




*Evolution of Middle East & North Africa sales*

**Exhibit 15**: Financial account

**LABORATORIOS BABE SL**

**Global Format Ratios**

| Non-Consolidated Accounts | 31/12/2023<br>EUR<br>12 months<br>Pending Processing<br>Normal PGC 2007 | 31/12/2022<br>EUR<br>12 months<br>Approved<br>Normal PGC 2007 | 31/12/2021<br>EUR<br>12 months<br>Approved<br>Normal PGC 2007 | 31/12/2020<br>EUR<br>12 months<br>Approved<br>Normal PGC 2007 |
|---|---|---|---|---|
| **A. Profitability** | | | | |
| Return on Equity (ROE) (%) | 40,24 | 13,08 | 37,95 | 77,60 |
| Return on Employed Capital (%) | 34,11 | 9,16 | 21,76 | 77,77 |
| Return on Total Assets (%) | 15,87 | 3,97 | 10,98 | 32,79 |
| Profit Margin (%) | 5,97 | 1,68 | 6,04 | 10,67 |
| **B. Operations** | | | | |
| Net Asset Turnover | 5,53 | 5,09 | 3,51 | 7,27 |
| Interest Coverage Ratio | 31,13 | 22,19 | 39,05 | 467,42 |
| Inventory Turnover | 21,63 | 14,64 | 5,37 | 19,93 |
| Collection Period (days) | 93 | 96 | 97 | 70 |
| Credit Period (days) | 3 | 1 | 6 | 4 |
| **C. Structure** | | | | |
| Solvency Ratio | 1,72 | 1,70 | 1,81 | 1,40 |
| Liquidity Ratio | 1,48 | 1,40 | 1,11 | 1,13 |
| Medium- and Long-Term Financial Autonomy Ratios | 4,57 | 1,88 | 1,27 | n.s. |
| Solvency Coefficient (%) | 39,45 | 30,37 | 28,93 | 42,25 |
| Leverage (%) | 38,51 | 75,62 | 102,29 | 7,44 |
| **D. Per employee** | | | | |
| Profit per employee | 26 | 6 | 15 | 26 |
| Operating Revenue per Employee | 435 | 368 | 250 | 246 |
| Labor Costs / Operating Revenue (%) | 14,27 | 14,94 | 20,03 | 21,55 |
| Average Number of Employees | 62 | 55 | 50 | 53 |
| Equity per employee | 65 | 47 | 40 | 34 |
| Working capital per employee | 130 | 122 | 110 | 57 |
| Total Assets per Employee | 164 | 155 | 137 | 80 |

**LABORATORIOS BABE SL**

**Financial Profile & Employees**

| Non-Consolidated Accounts | 31/12/2023<br>EUR<br>12 meses<br>Pending Processing<br>Normal PGC 2007 | 31/12/2022<br>EUR<br>12 meses<br>Approved<br>Normal PGC 2007 | 31/12/2021<br>EUR<br>12 meses<br>Approved<br>Normal PGC 2007 | 31/12/2020<br>EUR<br>12 meses<br>Approved<br>Normal PGC 2007 |
|---|---|---|---|---|
| Operating Revenue | 16.962.452 | 13.967.926 | 10.746.422 | 10.311.905 |
| Ordinary Pre-Tax Results | 1.012.733 | 234.421 | 648.940 | 1.100.620 |
| Net Income | 758.740 | 172.928 | 453.321 | 808.778 |
| Total Assets | 6.379.477 | 5.900.629 | 5.910.372 | 3.356.969 |
| Equity | 2.516.808 | 1.792.068 | 1.709.804 | 1.418.239 |
| Economic Profitability (%) | 15,87 | 3,97 | 10,98 | 32,79 |
| Financial Profitability (%) | 40,24 | 13,08 | 37,95 | 77,60 |
| General Liquidity | 1,72 | 1,70 | 1,81 | 1,40 |
| Leverage (%) | 60,55 | 69,63 | 71,07 | 57,75 |
| Number of Employees | 39 | 38 | 43 | 42 |

**LABORATORIOS BABE SL**

| Global Format | | | | |
|---|---|---|---|---|
| Non - Consolidated Accounts | 31/12/2023<br>EUR<br>12 months<br>Pending processing<br>Normal PGC 2007 | 31/12/2022<br>EUR<br>12 months<br>Approved<br>Normal PGC 2007 | 31/12/2021<br>EUR<br>12 months<br>Approved<br>Normal PGC 2007 | 31/12/2020<br>EUR<br>12 months<br>Approved<br>Normal PGC 2007 |
| **Balance Sheet** | | | | |
| Tangible Fixed Assets | 676.779 | 534.029 | 741.792 | 644.880 |
| Inangible Fixed Assets | 360.505 | 259.580 | 264.398 | 219.678 |
| Real Estate Investments | 202.525 | 134.887 | 174.803 | 154.429 |
| Other Fixed Assets | 113.749 | 139.562 | 302.590 | 270.773 |
| Current Assets | 5.702.698 | 5.366.600 | 5.168.580 | 2.712.089 |
| Inventory | 784.123 | 953.828 | 2.001.445 | 517.454 |
| Accounts Receivable | 4.401.791 | 3.732.448 | 2.909.495 | 1.995.696 |
| Other Liquid Assets | 516.784 | 680.324 | 257.640 | 198.939 |
| Cash | 305.268 | 486.336 | 123.990 | 76.822 |
| Total Assets | 6.379.477 | 5.900.629 | 5.910.372 | 3.356.969 |
| Equity | 2.516.808 | 1.792.068 | 1.709.804 | 1.418.239 |
| Share Capital | 3.010 | 3.010 | 3.010 | 3.010 |
| Other Equity Funds | 2.513.798 | 1.789.058 | 1.706.794 | 1.415.229 |
| Fixed Liabilities | 550.337 | 952.720 | 1.351.437 | n.d. |
| Long - term Créditos | 550.337 | 952.720 | 1.351.437 | n.d. |
| Other fixed liabilities | 0 | 0 | 0 | 0 |
| Provisions | n.d. | n.d. | n.d. | n.d. |
| Financial debt | 3.312.332 | 3.155.841 | 2.849.131 | 1.938.730 |
| Trade Payables | 418.899 | 402.515 | 397.519 | 105.539 |
| Commercial Creditors | 117.985 | 56.786 | 179.791 | 124.381 |
| Other current Liabilities | 2.775.448 | 2.696.540 | 2.271.821 | 1.708.810 |
| Total Liabilities and Equity | 6.379.477 | 5.900.629 | 5.910.372 | 3.356.969 |
| Working capital | 5.067.928 | 4.629.490 | 4.731.149 | 2.388.769 |
| Number of Employees | 39 | 38 | 43 | 42 |
| **Income Statement** | | | | |
| Operating Revenue | 16.962.452 | 13.967.926 | 10.746.422 | 10.311.905 |
| Ner sales revenue | 16.803.421 | 13.646.150 | 10.577.560 | 10.171.954 |
| Cost of goods sold & Raw materials | 9.855.916 | 7.523.491 | 5.122.179 | 4.362.884 |
| Gross profit | 7.106.536 | 6.444.435 | 5.624.242 | 5.949.021 |
| Other operating expenses | 6.067.521 | 6.067.835 | 4.958.286 | 4.845.905 |
| Operating Profit | 1.039.015 | 376.600 | 665.957 | 1.103.116 |
| Financial Income | 8.299 | 793 | 36 | 0 |
| Financial expenses | 34.581 | 142.972 | 17.053 | 2.496 |
| Financial result | -26.282 | -142.179 | -17.016 | -2.496 |
| Ordinary Pre - tax profit | 1.012.733 | 234.421 | 648.940 | 1.100.620 |
| Corporate income tax | 253.993 | 61.493 | 195.620 | 291.842 |
| Ordinary Operating profit | 758.740 | 172.928 | 453.321 | 808.778 |
| Extraordinary income | n.d. | n.d. | n.d. | n.d. |
| Extraordinary expenses | n.d. | n.d. | n.d. | n.d. |
| Extraordinary Activities result | n.d. | n.d. | n.d. | n.d. |
| Net profit (Result of the period) | 758.740 | 172.928 | 453.321 | 808.778 |
| Materials | 9.838.209 | 6.026.015 | 6.350.127 | 4.505.561 |
| Personnel expenses | 2.420.947 | 2.086.153 | 2.152.999 | 2.221.845 |
| Depreciation of fixed assets | 135.122 | 135.182 | 127.351 | 135.120 |
| Other operating concepts | -3.511.452 | -3.846.500 | -2.677.936 | -2.488.940 |
| Financial expenses and related costs | 33.381 | 16.972 | 17.053 | 2.360 |
| Cash flow | 893.862 | 308.110 | 580.671 | 943.898 |
| Value Added | 3.602.183 | 2.472.728 | 2.946.343 | 3.459.945 |
| EBIT | 1.039.015 | 376.600 | 665.957 | 1.103.116 |
| EBITDA | 1.174.137 | 511.782 | 793.307 | 1.238.236 |

**Exhibit 16**: BABÉ video
https://drive.google.com/file/d/13XZLYDAUGc1CKdAS9EZYyiFPBITspYW8/view?usp=drive_link

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